

16 Jun 2026 03:21:07 ET | 10 pages

China Auto Manufacturers

Mr. Sun's Update on May/Jun Order & Competitive Dynamics

CITI'S TAKE

We hosted an industry expert call with auto journalist Mr. Sun Shaojun 孙少军 on 16-June. Key takeaways include: **(1) May/June market overview:** Mr. Sun indicated overall PV sales in May were a miss. ICE sales collapsed while NEV was flattish MoM — The ICE sales plunge didn't benefit NEV due to muted customer purchase. **Into June**, the market is sustaining its tepid trend with market divergence — below Rmb200k NEV segment remains resilient while the luxury segment (traditional BBA & flagship SUVs of NEV brands) has seen a sharp order decline. **(2) Potential stimulus rollout:** Mr. Sun believes if the market remains sluggish, stimulus policy could be introduced for stabilization. Historical patterns show auto stimulus typically appears after July; therefore, Mr. Sun anticipates that the weaker the market performance, the higher the likelihood of stimulus policy being rolled out after July. **(3) Mass-market** BYD/Leapmotor weekly orders remained resilient at ~50k/13k units.

BYD — Last week's order was at 50k units (including BYD repurchased volume for overseas sales at <5k units), vs. 52k units two weeks ago. Given the robust overseas demand, Mr. Sun indicated that BYD has repurchased small battery PHEV models from dealers for overseas sales. The expert noted models with 2nd-gen blade batteries have also received decent customer feedback. The monthly production capacity of the 2nd-gen blade battery is ramping up at 20-30k units each month, according to BYD. Mr. Sun expects the launch of Great Tang (17-June) to further boost BYD's weekly order.

BBA competitive pressure — German luxury brands (BMW, Benz, Audi) continue to face structural headwinds. The expert noted BBA weekly orders declined to <7k units last week (vs. 11-12k last year), reflecting ongoing share loss to domestic premium NEV brands. BMW China's last week order at 6.5k, Audi China was at ~6k, Benz China at <7k units.

Xpeng — Last week's order was at 6k units (GX: 1-1.5k, M03: 2k+), vs. 6.5k two weeks ago. Mr. Sun attributed the weekly order decline of GX to long delivery time.

Nio (excluding Onvo) — Last week's order was at 6.5k units (ES9: 2k, ES8: 2.5k, Firefly: 1.3k), vs. 7k+ two weeks ago (ES9: 2k+, ES8: 3k+). The expert highlighted strong sales visibility for the ES9, with steady-state weekly order expected at ~2k units.

Leapmotor — Last week's order was at 12.5-13k units (A10: 4-4.5k, B series: 2-3k, D19: 1.5k), vs. 13k two weeks ago. Upgraded C series will be launched on 16-June, which should boost Leapmotor's weekly order.

Li Auto — Last week's order was at 4.5k units with L series contributing ~2k units (L9: <1k units). The expert noted that ES9 and M9 weigh on the sales of L9.

Xiaomi — Last week's order was at 5k units (YU7: 2.5-3k, SU7: 2k), vs. 6k two weeks ago.

Tesla China — Last week's order was at 10k+ units (vs. 9-10k two weeks ago), with WoW growth driven by FSD set to launch in 2-3 weeks. (Continued...)

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Huawei HIMA — Last week's order was at 11k units (AITO: ~7.5k, Luxeed: ~1.5k, Shangjie: ~1.5k, Maextro 1.1-1.2k), vs. 13k two weeks ago. Mr. Sun attributed tepid order of Maextro to the wait-and-see mode before the launch of S800 Grand Design (pre-sales order at 700-800 units), V680 and V800. The weekly order of Luxeed V9 and Shangjie Z7 is at 1.2-1.4k units respectively.

Denza — Last week's order was at 2k units, down from 3-3.5k units two weeks ago.

Zeekr — Last week's order was at 4k+ units (9X + 8X combined at 1.5k units), down from 5k units two weeks ago.

GAC Aion — Last week's order was at 4.5k units, up from 3k two week ago driven by the launch of i60.

IM Motor — Last week's order was at 1.6k units, down from 1.5k two weeks ago.

Questions and Answers

Q: Views on Geely Galaxy, compared with BYD and Leapmotor?

A: Per Mr. Sun, Leapmotor (B10/A10) and BYD (2nd-gen blade battery) have both benefited from BEV penetration growth this year, while Geely Galaxy suffered from PHEV penetration decline in 1H26 as most of its new 1H26 models were PHEV. Along with the launch of new BEV models in 2H26, Mr. Sun expects Geely Galaxy sales to see recovery.

Q: Outlook for Zeekr 9X and 8X?

A: Mr. Sun estimates the current order backlog of Zeekr 9X at 10-15k units, which could support delivery until July. Given lots of 5-seater SUVs are set to launch in 2H (AITO M8, Stelato G9, Nio ES8, Li L8), future sales visibility of Zeekr 8X seems low.

Q: Customer feedback of Stelato G9?

A: Mr. Sun is optimistic on the Stelato G9 sales outlook, given it's clearly differentiated with Huawei customer base.

Q: EREV penetration outlook?

A: Mr. Sun anticipates the EREV penetration decline trend to be sustained going forward, given EREV battery capacity has hit its ceiling with EV mileage at ~400km. Entry-level BEV (~Rmb100k) can already achieve EV mileage of 600-700km, per Mr. Sun.

Q: Outlook on BYD weekly order after official launch of Great Tang?

A: Mr. Sun thinks the launch of Great Tang can boost BYD's order intake. The industry conversion rate from small order to big order (non-refundable) has declined from 60-70% in the prior years to 35-40% this year. Mr. Sun hopes the order conversion rate of Great Tang could be higher than the industry average.

Q: Outlook on JV brands?

A: Mr. Sun anticipates some joint-venture automakers may face production halts. This year JV brands may need to make a choice: either fully localize for the Chinese market or leave Chinese market altogether.

Q: Views on raw material cost inflations?

A: Mr. Sun thinks some models could see price hikes in 2H26. In fact, some models have already begun to see price hikes. The launch prices for the Leapmotor A10 and the new BYD model are higher than expected, as the cost of rising raw materials has already been factored in.

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